1.3 VALUE-ADDED APPROACH

MARKING SCHEME

1992/CE/II/13 D	2000/CE/II/35 A	2005/CE/II/28 C (69%)	2010/CE/II/28 A (66%)	2019/DSE/I/26 D
1992/CE/II/46 D	2002/CE/II/26 B (17%)	2007/CE/II/28 B (52%)	2011/CE/II/26 B	2021/DSE/I/23 B
1995/CE/II/59 D	2003/CE/II/27 B (54%)	2007/CE/II/29 A (46%)	2014/DSE/I/24 C (71%)	2022/DSE/I/24 A
1998/CE/II/25 A	2004/CE/II/27 C (75%)	2009/CE/II/27 A (56%)	2017/DSE/I/25 A (40%)	

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1990/CE/I/3(a)(ii)

No, because (1)

- the contribution to the national income depends on the valued-added. (3)
- for domestic exports of goods, Hong Kong adds value onto the imported raw materials and semi-manufactured goods mainly by providing labour services. (3)
- for re-exports, Hong Kong earns income from providing services to the re-export trade. (3)
- the income earned from domestically-produced goods for exports can be smaller or greater than that from servicing re-exports. (2)

(max: 7)

1994/CE/I/11(c)

Some vegetables were not current production (i.e. inventory of the previous year). (2)

Some fertilizers used / vegetables sold were not produced by Mr Chan's farm. (2)

1997/CE/I/11(a)(ii)

(I) [Output (or value-added) approach:]

$[(0.8 - 0.5) + (0.7 - 0.5) + (1.6 - 0.7)] m (1)

= $1.4 m (1)

[Expenditure approach:]

$(0.8 + 1.6 - 1) m (1)

= $1.4 m (1)

(Mere mention of correct numerical answer $1.4 m without showing working – max: 1 mark)

(II) [Value-added approach:]

Input costs are deducted at every stage of production. (2)

[Expenditure approach:]

Only the expenditures on final goods and services are summed up. (2)

1999/CE/I/9(c)

(i) Value-added approach:

$[230 + 60 - 100] + $[(350 - 230) + (160 - 60)] (2)

= $410 (1)

(ii) Expenditure approach:

$(350 + 160 - 100) (2)

= $410 (1)

2001/CE/I/11(a)(i)
$[(90 - 20) + (20 - 2 - 0.5) + 0.5] m (2)
= $88 m (1)

2003/CE/I/9(b)(i)
Firm A's contribution is the value added by A to the production. Other firms' contribution in the production process should have been deducted. (2)
Total export value in 2003 may have included part of the inventory in past years which should be deducted from the 2003 figures. (2)

2004/CE/I/10(b)
The value of outputs of other firms in HK that are bought by this firm for its production. (2)

2006/CE/I/5
(a) $(50 000 + 60 000 - 30 000) - $5 000 (1)
= $75 000 (2)

(b) ${(60 000 + 50 000) - 65 000} + $(65 000 - 30 000) (1)
= $80 000 (2)

2014/DSE/II/11(b)
Not all factor inputs used to produce Japanese cars originated from Japan. e.g., some of the parts or raw materials were imported. (2)
Some Japanese cars sold in 2013 were not produced in the same year. e.g., some of them came from the inventory. (2)